Finance Project: Key Insights

Based on Finance_Dataset (2,000 transactions · 500 customers · 10 branches · 36 months, Jan 2022 – Dec 2024) and the project dashboard. All amounts in ₹ Lakhs.

Briefly:

Metric	Value
Total actual revenue	21,947 (target 22,458, **97.7% achieved**)
Loan approvals / rejections	5,050 / 1,374 (**78.6% approval rate**)
Average recovery	**86.2%**
Average NPA	**7.4%**
Months target met	**16 of 36**

1. Revenue: close to target, but inconsistent

- The business finished 511 lakhs short of target overall. Achievement was 100.4% in 2022, dipped to 94.6% in 2023 and recovered to 98.2% in 2024.
- Performance is volatile from month to month. The best month was Apr 2022 (+142 above target) and the worst was Jan 2023 (−149).
- In 2024 the target was met from May to Oct, then missed in Nov and Dec, and also in Jan–Apr. The year ended on a weak note (Dec: −118).

2. Credit quality: the main risk

- Only **21%** of loans are fully paid. About 20% are overdue, and 18.5% have defaulted.
- Defaulted loans carry **9,565 lakhs** of outstanding balance, about **22%** of all outstanding (43,235).
- NPA worsened in 2024, averaging **8.5%** versus 6.7% in 2023, and reached 11.8% in Dec 2024. Recovery in the same period was uneven (Jul 77.5%, Oct 76.0%).
- Weaker credit scores default more often: **20.4%** for scores below 650, against 16.6% for scores of 750 and above.
- Central has the highest default rate (20.2%) and West has the lowest (15.6%). Dhenkanal Rural (BR010) has the most defaulted loans (43), followed closely by Bhubaneswar Main (42).

3. Lending portfolio

- Of 2,000 applications, 1,004 were approved (50%), 638 rejected, and 358 are still under review. The approved value is 50,873 lakhs.
- Approval rates are almost identical across all six products (49–52%), so there is no clear favorite. Gold Loan has the highest volume (17,972) and Auto Loan has the lowest (15,664).
- South leads on volume (21,655) and Central is lowest (19,112). East alone has 10,720 lakhs of approved loans.

- Credit mix is healthy: 44% of customers are Low Risk (750+), 29% Medium, and 27% High Risk.
- Disbursal is fast, at roughly 6 working days from application to disbursal.
- Processing fees total 1,272 lakhs (about 1.3% of loan value). Rourkela Industrial collects the most (147) and Dhenkanal Rural the least (115).

4. Data quality issues to fix

- Approval Status has 6 spellings (e.g. "approved", "APPROVED", "Rejected "). Gender had 6 variants. Both were standardized before analysis.
- 30 loan amounts and 64 payment statuses are missing in Transactions. Customers is missing 26 credit scores and 18 income values.
- Region and State in Transactions and Branches do not always agree (e.g. BR008 is East in Branches but North in Transactions). Region-level results should be read with this in mind.

5. Dashboard check

- The **Recovery % trend** (axis 210–280) and **Region-wise NPA %** (axis 62–78) charts show values far above 100%. This suggests percentages were summed in the pivot. Switch both to **Average of** to get true percentages.
- "Total Approved 5,050" comes from the monthly KPI sheet, while the Transactions sheet has 1,004 approved loans. Label the source on the card to avoid confusion.

Recommendations

1. **Tighten collections:** focus on Central, BR010 and BR001, and on borrowers with scores below 650.
2. **Fix the year-end slump:** review Nov–Dec targets and the pipeline, since both 2024 months have been missed.
3. **Differentiate products:** approval rates are flat across products, so risk-based pricing or limits could add value.
4. **Clean the data at source:** enforce dropdowns for status and gender fields and make loan amount mandatory.